of Rs 9,591 crore in FY22. Under the terms of the deal, the Tata Group took on Rs 15,300 crore of the debt; the remaining Rs 46,000 crore was transferred to AI Asset Holding Limited, a special purpose vehicle set up by the government.

BIG AMBITION, BIGGER WOES

The Tata Group's return to aviation, however, had begun years earlier. In 2014, it entered into a joint venture with Malaysia's AirAsia Berhad to launch AirAsia India, with the Tatas holding a 51 per cent stake. In 2022, they took full control of the budget carrier and renamed it AIX Connect, ahead of its merger with Air India Express in October 2024. Vistara—another Tata venture, this time with Singapore Airlines—took off in 2015 and was merged with Air India in November 2024. Post merger, the Tata Group holds a 74.9 per cent stake in the combined entity, with Singapore Airlines owning the rest.

The Tatas were indeed betting big on aviation. For good reason. Indian civil aviation was booming like never before. The country's air passenger traffic—domestic and international—has more than doubled in the past decade, reaching 376 million in FY24, as per official data. This has made India the third largest aviation market in the world, after the US and China. Government projections, as well as forecasts by independent agencies, estimate a 7-10 per cent annual growth in domestic air traffic and 15-20 per cent in international traffic over the next few years. Wilson, in a media interview days before the crash, had talked of Air India's plans to "connect to far-flung destinations in the world". The crash has put all that on hold. The Tatas have multiple challenges to negotiate before they can resume the airline's onward journey.

CHALLENGE 1
SHEDDING ITS BAGGAGE

Few dispute that the Tatas inherited an airline burdened with legacy issues. Investment neglect, frequent labour unrest from a bloated workforce and gargantuan losses had plagued Air India for decades. A turnaround was never going to be easy for the Tatas. "There were many legacy issues the Tatas had to tackle at Air India, since it was run by babus who had zero knowledge of aviation," says an aviation expert, on condition of anonymity. "It is obvious there was a compromise on safety." Another industry expert, who also chose to remain anonymous, believes the culture at Air India continues to be *sarkari*. "If your aircraft roof is leaking and the air conditioning is not working, that is a telltale sign of your company's culture," he says. "It says you can cut corners with impunity."

Air India, however, maintains that 59 per cent of its domestic fleet and around 40 per cent of its international aircraft have new or upgraded cabins. "It is incorrect to link issues with cabin amenities, such as seat functionality or inflight entertainment systems, to the reliability and airworthiness of an aircraft," a spokesperson told INDIA TODAY. "These aspects are unrelated to the aircraft's safety or maintenance protocols, which are rigorously monitored, and adhere to the highest regulatory standards." The airline added that its retrofit programme had been delayed due to global supply chain disruptions, with the first Boeing 787-8 Dreamliner now scheduled to begin retrofitting in July itself.

As much as 60 per cent of Air India's aircraft, including the Dreamliners, are maintained by Air India Engineering Services Ltd (AIESL)—a profitable PSU with a net profit of Rs 629.5 crore in FY23. AIESL was hived off as a separate subsidiary and excluded from the Air India disinvestment.

The Crash...

Besides the Ahmedabad crash, there have been a few close calls involving Air India flights since the Tatas' takeover—and safety concerns persist amid heightened scrutiny

Jun. 12, 2025; AI 171 (Ahmedabad-London)
Boeing 787-8 Dreamliner crashes on take-off, 241 on board killed, only 1 survivor

↘ ***High-powered, multi-agency committee given three months to probe into the crash and suggest reforms; DGCA directs examination of Air India's entire Dreamliner fleet and audits of pilot training schedules***

...and the Close Calls

Jun. 16, 2025; AI 315 (Hong Kong-Delhi)
A Boeing 787-8 Dreamliner returns to Hong Kong after a suspected 'technical issue' mid-air

↘ ***Aircraft is taken out of service for inspection***

May 28, 2025; AI 347 (Singapore-Chennai)
The aircraft aborts a landing at Chennai merely 200 feet above ground due to cross-winds and a steep descent. Later lands safely

↘ ***DGCA recommends simulator refresher training for pilots for approach handling***

Aug. 4, 2023, AI 131 (Mumbai-London)
A Boeing 787-8 forced to return to Mumbai after an engine shut down during the climb

↘ ***A fan blade in the engine's high-pressure section had come loose, causing the failure. The blade's locking lugs had been incorrectly installed in 2018, and stayed that way***

